Year	P50			P75			P90		
	Generation (MWh)	DCPLF	ACPLF	Generation (MWh)	DCPLF	ACPLF	Generation (MWh)	DCPLF	ACPLF
7	1544500	20.99%	29.39%	1499452	20.38%	28.53%	1458792	19.82%	27.75%
8	1538013	20.90%	29.26%	1493154	20.29%	28.41%	1452665	19.74%	27.64%
9	1531553	20.81%	29.14%	1486883	20.21%	28.29%	1446564	19.66%	27.52%
10	1525121	20.73%	29.02%	1480638	20.12%	28.17%	1440488	19.58%	27.41%
11	1518715	20.64%	28.89%	1474420	20.04%	28.05%	1434438	19.49%	27.29%
12	1512337	20.55%	28.77%	1468227	19.95%	27.93%	1428414	19.41%	27.18%
13	1505985	20.47%	28.65%	1462060	19.87%	27.82%	1422414	19.33%	27.06%
14	1499660	20.38%	28.53%	1455920	19.79%	27.70%	1416440	19.25%	26.95%
15	1493361	20.29%	28.41%	1449805	19.70%	27.58%	1410491	19.17%	26.84%
16	1487089	20.21%	28.29%	1443716	19.62%	27.47%	1404567	19.09%	26.72%
17	1480843	20.12%	28.17%	1437652	19.54%	27.35%	1398668	19.01%	26.61%
18	1474624	20.04%	28.06%	1431614	19.46%	27.24%	1392793	18.93%	26.50%
19	1468430	19.96%	27.94%	1425601	19.37%	27.12%	1386944	18.85%	26.39%
20	1462263	19.87%	27.82%	1419614	19.29%	27.01%	1381118	18.77%	26.28%
21	1456122	19.79%	27.70%	1413651	19.21%	26.90%	1375318	18.69%	26.17%
22	1450006	19.71%	27.59%	1407714	19.13%	26.78%	1369541	18.61%	26.06%
23	1443916	19.62%	27.47%	1401802	19.05%	26.67%	1363789	18.53%	25.95%
24	1437851	19.54%	27.36%	1395914	18.97%	26.56%	1358061	18.46%	25.84%
25	1431812	19.46%	27.24%	1390051	18.89%	26.45%	1352358	18.38%	25.73%

Our Comments:

We have been provided with PVsyst report for review and after detailed desktop review our findings are listed below:

- *Overall performance of the plant seems to be maintained over the next 25 years.*
- *For Solar Energy Assessment, weather data source from SolarGIS has been used.*
- *LSI has done a review of the considered losses and unavailability factors for the generation estimates.*
- *Generation Estimates on P90 (1496.10 GWh) and DC PLF of 20.33% seems to be achievable with smooth operations of the trackers.*
- *Year on year will be 0.42% degradation as per the document provided by company.*

5.10 Project Infrastructure Integration

The present project is a cohesive integration of generation, evacuation, and operational infrastructure. The engineering approach emphasizes modularity and redundancy so that each subsystem functions independently yet contributes seamlessly to the collective grid output.

5.10.1 Power Evacuation

The project's 600 MWac output is aggregated at the 33 kV level across distributed inverter stations. Power is then stepped up through multiple 33/400 kV transformers at the pooling substation. A double-bus GIS arrangement ensures reliability and ease of maintenance. Transmission to the interstate grid is executed through a 400 kV overhead line with twin-moose conductors designed for 50 °C ambient operation. The design minimizes transmission losses (< 0.5 %) and incorporates high-speed line-protection relays with remote tripping capability to meet grid-code requirements.

5.10.2 Transmission Line

The project involves construction of 400kV having 36 towers with a Stringing Length of 12.50 kms.

As per project progress as on 31st October'2025, out of the total 36 towers, Foundation of 34 towers has been completed, also ROW for 34 out of 36 towers is also in possession. Further, Erection of 18 towers is completed.

Stringing of 0.05 km out of 12.50 km is completed.

5.10.3 Internal Infrastructure

The internal network comprises gravel-topped roads, storm-water channels, and cable trenches running in parallel corridors. Each array block houses its own inverter-control kiosk and ring-main-unit enclosure. Low-voltage auxiliary supply is distributed from centralized panels located near each inverter group. Foundations for electrical equipment are standardized concrete pedestals suitable for the site's soil-bearing capacity. Every equipment pad is earthed with 50 mm^2 copper strips and connected to the plant-wide earthing grid, ensuring fault-current dissipation and personnel safety.

5.10.4 Water Management & Drainage Systems

Given the desert environment, the project includes an optimized rainwater-runoff design using natural slope gradients. Collection trenches direct occasional monsoon flows toward lined percolation pits, improving groundwater recharge. Water-storage reservoirs feed semi-automatic cleaning systems through HDPE pipelines, reducing tanker dependency.

5.10.5 Communication and Control Infrastructure

The SCADA backbone uses a hybrid fiber-optic and wireless communication system. Each inverter station is connected to the central control room via redundant loops to prevent single-point failure. The command center also interfaces with the transmission-utility control hub, allowing remote monitoring of power quality, reactive-power exchange, and frequency variation.

Overall Comments on Project Infrastructure Integration:
Collectively, the infrastructure demonstrates a well-balanced fusion of technical precision and operational flexibility—key indicators of long-term feasibility for utility-scale plants.

5.11 Power Offtake

The company in the present proposal envisages to sell power generated from the solar plant under a Captive/ Group Captive Open Access model by executing a Power Purchase Agreement.

The **captive/group open access model** for the sale of power generated by solar power plants in India allows companies to generate electricity and use it for their own consumption or supply to a group of users. Here's a summary of the key aspects of this model:

Table 31: Captive/ Group Open Access Model

Particulars	Details
Ownership	• To qualify as a captive power plant, at least **26% of the equity** must be held by the consumers of the power. • At least **51% of the electricity generated annually** must be used for captive consumption.
Benefits	• Exemption or reduction in cross-subsidy surcharge and other charges, depending on state policies. • Cost savings compared to procuring power from distribution companies (DISCOMs) due to lower tariffs.
Challenges	• Complex agreements between multiple stakeholders. • Compliance with equity ownership and proportional consumption.

The company in the present proposal plans to generate solar power and sell it to industrial and commercial consumers through a Captive/Group Captive Open Access Power Purchase Agreement (PPA).

To qualify for this arrangement, the Electricity Act 2003 requires:

1. **Equity Ownership:** Consumers must hold at least 26% of the company's equity, proportionate to their contracted energy, and have voting rights.

2. **Energy Offtake:** Consumers must use at least 51% of their contracted energy to be classified as captive users under Indian electricity laws and regulations.

By meeting these conditions, the solar power plant will be considered a Captive Generating Plant.

5.12 Power Delivery Agreement

Power generated from the Solar Plant will be sold to ***Vedanta Limited (VL)*** under a Power Delivery Agreement (PDA) executed on 24th March'2023 at a fixed tariff of $ Cents 3.05 per unit for a period of 25 years from the COD of the entire Contracted Capacity.

Vedanta Limited is the flagship company of the Vedanta Group being headed by Mr. Anil Kumar Agarwal. Vedanta Limited has strong financials with Long-Term CRISIL AA/ Watch Developing Credit Rating.

A brief summary of the Power Delivery Agreement so executed is given below:
Table 32: Brief Snapshot of PDA

Particulars	Description
Type of Agreement	Power Delivery Agreement (PDA)
Date of Agreement	24th March'2023
Effective date	24th March'2023
Parties to the Agreement	Serentica Renewables India 9 Private Limited ('SRI9PL' or 'Developer') Vedanta Limited ('VL' or 'Captive User')
Contracted Capacity	600 MWac
Delivery Point	Shall mean a single point or multiple points at the voltage level of 220 kV or above of the ISTS Sub-station(s) including the dedicated transmission lines connecting the Project/ individual component with the Grid. Metering shall be done at this interconnection point where the power is injected into the Delivery Point, For interconnection with grid and metering i.e., at the Delivery Point, the Developer shall abide by the relevant and applicable regulations, Grid Code notified by the CERC or and Central Electricity Authority (Installation and Operation of Meters) Regulations, 2006 as amended and revised from time to time, or orders passed thereunder by the appropriate commission or CEA. ***Note:***

	Subject to the terms of this Agreement all charges and losses related to Transmission of Power from project up to Delivery Point (including but not limited to open access, transmission, wheeling, Unscheduled Interchange, Scheduling, Reactive Power, RLDC/ SLDC charges, etc.) as notified by the competent authority/ regulator shall be borne by the Developer and beyond the Delivery Point all charges and losses as notified by the competent authority/ regulator from time to time shall be borne the Captive User
Part Commissioning	Part Commissioning shall mean the Contracted Capacity (AC MW) to be commissioned as per provisions of this Agreement. The minimum capacity for acceptance of 1st part commissioning at one project site shall be at least 50 MW, without prejudice to the imposition of penalty, in terms of this Agreement on the part which is not commissioned
Scheduled Commissioning Date (SCD)	Shall mean, subject to other terms of this agreement, the date of the completion of 24 months from the date of completion of Conditions Precedent, i.e., 24 months from the date on which Connectivity at the Delivery Point from Central Transmission Unit to remain connected to the ISTS Grid sub-station has been obtained. ***Note:*** *SCD of the project was initially envisaged to be achieved prior to expiry of ISTS Waiver, i.e., on or before 30th June'2025. However, since the Company is unable to achieve the SCD prior to ISTS Waiver date, due to reasons beyond its control, Vedanta Limited (Power Offtaker) had vide its letter dated 30th April'2025, extended the SCD till 22nd August'2026.*
Term of the agreement	25 Years from COD of the entire Contracted Capacity
Applicable Cost of Captive Sourcing of Power (i.e., Power Tariff)	Applicable Cost of Captive Sourcing of Power (ACCSP) i.e., Power Tariff fixed for the entire term of the agreement is $ Cents 3.05 per unit. Monthly invoices towards power sale shall be raised by the Developer in INR based on the ACCSP converted to INR based on the last 7 days average of the daily exchange rate published by the Reserve Bank of India
Conditions Precedent & subsequent	• The Developer shall, within five months from the date of execution of this Agreement, obtain connectivity at the Delivery Point from CTU to remain connected to the ISTS grid sub-station for the term of the PDA.

	• The Developer shall facilitate the Captive User in obtaining Open Access from the Delivery Point to the Drawl Point within five months, with related costs borne by the Developer (except those specific to the Captive User's application), and the Captive User providing necessary support and cooperation for approvals. • The Parties will review the progress of the above conditions every three months, and may mutually agree to revise project timelines, including the Scheduled Commissioning Date (SCD). • In the event of a Force Majeure, the timelines for fulfilling the conditions precedent and the SCD shall be extended for the duration of the event, and if this extension pushes the SCD beyond the ISTS Waiver Date, the Parties shall jointly assess the financial impact and consider sharing ISTS charges to preserve the Captive User's original financial position. • The Developer shall provide a Performance Bank Guarantee (PBG) of ₹5 lakh/MW of Contracted Capacity (₹30 crore for 600 MW) within 60 days of receiving the Captive User's subscription amount, valid for six months from the SCD as security for timely commencement of power supply • The Captive User shall release or return the PBG within three months of successful project commissioning after adjusting any applicable damages, or within thirty days of termination, without any deductions or set-off. Without prejudice to any other rights of the Captive User under this Agreement.
Equity Contribution	The Captive User shall at all times maintain compliance with the Captive Rules. In case there is a downward revision in the Equity Contribution assessed after the COD of the project, on account of downward revision in the CAPEX of the project, the Developer shall be obligated to return the excess Equity Contribution to the Captive User
Obligations of Developer	• The Developer shall be responsible for arranging land, infrastructure, and connectivity of the Project with the CTU ISTS sub-station at the Delivery Point, ensuring power evacuation by the SCD and obtaining all required consents and clearances. • The Developer shall obtain and maintain all necessary Consents, Clearances, and Permits during the term of the Agreement, while the Captive User shall extend support for submissions and approvals from relevant authorities. • The Developer shall design, construct, commission, test, and operate the Project in compliance with applicable laws, Grid Code, Prudent Utility Practices, and technical standards prescribed by the Central Electricity Authority.

	• The Developer shall ensure timely supply of power up to the Contracted Capacity by the SCD and maintain supply throughout the Agreement term, with proper connection between the Project switchyard and Interconnection Facilities at the Delivery Point. • The Developer shall fulfil all obligations under Article 3.1.1 of the agreement, while the Captive User shall provide necessary bank guarantees for securing Long-Term Access; under the CERC (GNA) Regulations, 2022, the Captive User will secure and maintain GNA connectivity, with the Developer's full cooperation. • In case of termination due to a Party's default, the defaulting Party shall bear costs for surrendering or relinquishing connectivity or open access; no such costs will arise in case of mutual termination or expiry of the Agreement. • The Developer, as a Regional Entity, shall coordinate with the Captive User, Load Dispatch Centres, and other authorities for scheduling, dispatch, availability declaration, and settlement of renewable energy, ensuring compliance with applicable regulations. • The Developer shall maintain the Performance Bank Guarantee, comply with all applicable laws, and provide necessary assistance to the Captive User in adhering to Captive Rules.
Obligations of Captive User	• The Captive User shall off-take the Available Capacity up to the Contracted Capacity each year, comply with all Applicable Laws, Captive Rules, and Governmental Approvals, and ensure timely payment of all dues to avoid disconnection risks at its facility. • The Captive User shall provide and maintain appropriate payment security, make all payments including ACCSP on time, and pay any applicable Late Payment Surcharge on delayed amounts. • The Captive User may divert part of the Available Capacity for other uses subject to Captive Rules, paying ACCSP on the full Contracted Capacity, with any incremental costs due to diversion adjusted against revenue realized. • The Captive User shall provide all necessary documents and assistance to the Developer for obtaining approvals, consents, financing permissions, and procurement of connectivity or Open Access for the Project, bearing all costs related to open access charges beyond the Delivery Point. • The Captive User shall, at its own cost, obtain and maintain bulk consumer connectivity or open access from the Drawl Point to its facility switchyard, with the Developer providing reasonable assistance in applications and approvals.

	• The Captive User shall perform all other obligations specified in the Agreement necessary for fulfilling its responsibilities.
Extension of Time	Following are the events upon occurrence of which Extension of Time under this Agreement shall be allowed: • In case the Developer is prevented from performing its obligations under this agreement due to (a) Captive User Event of Default; (b) Force Majeure Events affecting Captive User; (c) Force Majeure Events affecting the Developer. The Scheduled Commissioning Date (SCD) and the Expiry Date shall be deferred, for a reasonable period. • Subject to grant of Connectivity for the project, in case there is any delay in grant/ operationalization of Long-Term Access (LTA) or there is any delay in readiness of the ISTS substation at the Delivery Point, including readiness of the power evacuation and transmission infrastructure of the ISTS network until SCD of the Project. The above shall be treated as delays beyond the control of the Developer and the SCD shall be revised up to 60 days subsequent to the readiness of the Delivery Point and power evacuation infrastructure and/ or operationalization of LTA. In case of extension due to occurrence of Force Majeure Events and if such event continues for a period of more than 180 days from the date of Force Majeure Notice, any parties may choose to terminate agreement. In case neither party terminates the Agreement, the same shall stand terminated on the expiry of 12 months of the continuation of the Force Majeure or ISTS waiver date whichever is earlier.
Force Majeure	Following are the Force Majeure events as per the Agreement: • **Natural Force Majeure Event:** Act of God including but not limited to lightning, drought, fire, earthquake, lockdown, pandemic, endemic. Radioactive contamination or ionizing radiation, discovery of geological conditions, toxic contamination or archeological remains of the Project Land. • Non-Natural Force Majeure Event: Act of war, invasion, armed conflict or act of foreign enemy, nation/ state wide strike, lockout, lockdown, boycotts or other industrial disputes, nationalization or any compulsory acquisition by any Indian Governmental Instrumentality/ State Government in national interest, etc.
Annual Guaranteed Generations	• The Captive User agrees to procure Renewable Energy up to the Contracted Capacity, with a minimum Annual Guaranteed Generation of 25%.

	• They must off-take or pay for all Available Capacity, including any un off-taken capacity due to transmission constraints not caused by the Developer. • Available Capacity includes scheduled capacity up to and beyond Contracted Capacity if accepted, all counting towards the Annual Guaranteed Generation
Assignments & Charges	This Agreement shall be binding upon and inure to the benefit of the Parties and their respective successors and permitted assigns. This Agreement shall not be assigned by any Party except to the Project Lenders or Lenders' representative as security for their debt under the financing agreements, other than by mutual consent between the Parties to be evidenced in writing. Provided that, the assignment of any of Developer's rights and obligations under this Agreement and creation of charge on the Project thereto, in favour of the Lenders of the Developer is permitted without the requirement of any consent of the Captive User.
Delayed Liquidated Damaged	• Delay Liquidated Damages, capped at the Performance Bank Guarantee amount, will be calculated daily for the un-commissioned Contracted Capacity using the formula: Damages = • *(Performance Bank Guarantee) × (Un-commissioned Capacity ÷ Contracted Capacity) × (Days of Delay ÷ 180).*
Billing, Payment Mechanism & Late Payment Surcharge	• The Monthly Bill will be based on scheduled power (kWh) up to and beyond Contracted Capacity, using data from REA, RLDC, or other relevant authorities • Captive User must open and maintain an unconditional, revolving, irrevocable Letter of Credit (LC) before power supply starts, effective before the first bill's Due Date. • LC amount: 110% of estimated average monthly billing for Year 1; thereafter, 110% of previous year's average monthly billing. Valid for 12 months and renewed annually. • Developer may draw from LC only after bill Due Date, limited to one draw per month; Captive User must top up LC if amount falls short. • Captive User bears all LC-related costs and must ensure timely renewal and bank notification to Developer. • Developer can draw unpaid amounts by presenting the unpaid bill and a certificate confirming the bill is valid and overdue. • If the Captive User delays payment beyond the Due Date, a Late Payment Surcharge will apply on the outstanding amount. This surcharge is calculated at the State Bank of India's marginal cost of funds-based lending rate plus 1% (100 bps), adjusted annually

	if the delay spans multiple financial years. The surcharge is invoiced through a Supplementary Bill. • In case of early commissioning and acceptance by the Captive User, the Developer may raise bills for power injected into the grid, payable as per this Agreement. • A rebate of 0.5% is granted if payment is made within 7 days from the date the Energy Auditor clears the bill. Payments made after 7 days are not eligible for any rebate. • The bill presentation date is considered the business day when the bill (including electronic delivery) is received by the Captive User, and the payment due date is calculated from the Energy Auditor's bill clearance date. • No rebate applies to bills or supplementary bills raised due to Change in Law (e.g., taxes, duties, cess). Such supplementary bills must be paid in lump sum unless otherwise specified.
Change in Law (Schedule 3)	Change in Law refers to any new or amended Indian law, regulation, rule, or government interpretation occurring after the Agreement's Effective Date that causes additional costs or income for the Developer related to the Project. This includes new or modified permits, taxes, duties, or cess affecting the Project, but excludes changes in corporate income tax or withholding taxes on dividends. Any financial impact due to such changes entitles either party to compensation, subject to mutual agreement or expert committee resolution *Schedule 3* FORMULA FOR RELIEF DUE TO CHANGE IN LAW 1. In the event a Change in Law results in any increase or decrease in the cost of generation, the said increase / decrease in cost shall be passed on in ACCSP in the following manner: (a) For the purpose of ensuring that the pass through happens in an expeditious manner within 30 days of the Change in Law (as mentioned in Article 12 of this Agreement) event, the following formula may be followed: Let Financial Impact of Change in Law = P (in INR); Then, the modification in ACCSP (M.T) shall be determined by the formula as mentioned below: T.= Y / X in paise) Final Increase in ACCSPM.T/82(in cents)

- Where, X = estimated monthly electricity generation (in kWh) (1/12) [contracted capacity of the RE power plant as per PDA (in MW) x Annual CUF declared in PDA (in %)x 8760 hours x 10]; And

$$Y = \frac{(P \times M_r)(1+M_r)^n}{(1+M_r)^n - 1}$$

- where,
  n = no of months over which the financial impact has to be paid, and
  M_{1} = monthly rate of interest; where R = annual rate of interest on loan component (in %) on actuals (audited statement to be provided by the affected party).
- Further, the MT. shall be trued up annually based on actual generation of the year so as to ensure that the payment to the Generator is capped at the yearly annuity amount.
- (b) The pass through according to the formula stipulated above shall be calculated and shall come into effect automatically after 30 days of the Change in Law event.
- (c) Within 30 days of the pass through coming into effect the Generator/Intermediary procurer Procurer shall submit the relevant documents/calculation sheets to the Captive User as the case may be, for up the rate of pass through per uni/wables Indian
- (d) The Captive User or expert committee shall verify the calculation and do the truing up within 60 days of the pass through coming into effect after which the rates of pass through shall be adjusted if necessary, according to the truing up.

2. In case change in Law / Regulations results in delay in commissioning, where cause and effect between these two can be clearly established, the Intermediary Procurer may provide suitable extension to commissioning of the project.
3. In these Guidelines, the term 'Change in Law' shall refer to the occurrence of the following events, after the last date of the bid submission, (i) the enactment of any new Law; or (ii) an amendment, modification, or repeal of an existing Law; or (iii) the requirement to obtain a new consent, permit or license; or (iv) any modification to the prevailing conditions prescribed for obtaining a consent, permit or license, not owing to any default of the Generator; or (v) any change in the rates of any taxes which have a direct effect on the Project.

	• However, Change in Law shall not include any change in taxes on corporate income or any change in any withholding tax on income or dividends. 4. Increase in Operating Cost Due to Change in Law in terms of Article 12.2.1 of this Agreement shall be as under: • P= Lakhs/MWp (installed capacity) increase in solar operating cost due to change in law X = No. of MUs metered out from solar generation annually T = increase in charges in cents/KWh T=P*9.4/82 • X to be as per the final configuration of solar capacity selected for the Project and to be taken as the no. of units provided from solar over the course of 1 full year preceding the event of change in law.
Termination due to Events of Defaults	The occurrence and/or continuation of any of the following events, unless any such event occurs as a result of a Force Majeure Event or a breach by Captive User of its obligations under this Agreement, shall constitute a Developer Event of Default: Developer Events of Default: • Unauthorized transfer or novation of rights/obligations not in line with the Agreement. • Bankruptcy, insolvency, winding-up, liquidation, or similar proceedings, unless for merger/reorganization with a creditworthy successor. • Material breaches as specified in the Agreement not remedied within 60 days of notice. • Failure to achieve Annual Guaranteed Generation (AGG) for three consecutive contract years solely due to Developer, without adequately compensating with equivalent RE certificates or alternate supply. • No power supply for a continuous period of 12 months, except due to Force Majeure or reasons beyond Developer's control. Captive User Events of Default: • Non-payment of Monthly or Supplementary Bills for 90 days post due date, after exhausting Letter of Credit. • Material breach of obligations not remedied within 60 days of notice. • Bankruptcy, insolvency, winding-up, liquidation, or similar proceedings, unless for merger/reorganization with a creditworthy successor. • Failure to maintain, renew, or replenish the Letter of Credit. • Failure to fund the Developer as per the Agreement.

	• Any default under the Investment Agreement related to the Captive Use
Termination Payment	In case the Developer terminates the PDA due to Non-Natural Force Majeure Events, the developer shall have a right but not the obligation to require the Captive User to take over the project through purchase as per the Investment Agreement for consideration equivalent to 110% of FMV of Developers Parent Company's Securities at the time of termination. Where such purchase at 110% of the FMV is not permissible under Applicable Law, then at the option of Developer's Parent Company, Captive User shall ensure such purchase through its nominee at such price (i.e., 110% of FMV). For the sale of the Developer's Parent Company's Securities, the Developer's Parent Company shall issue a put option notice to Captive User as per the Investment Agreement. For avoidance of doubt, the process to be adopted for undertaking

	sale of Developer's Parent Company's Securities shall be as prescribed in the Investment Agreement.

Our Comments:

- Tariff for offtake of Power has been fixed in USD per unit as against standard practice across industry to be in INR per unit. Thus, carrying risk of Exchange Rate Fluctuations. As informed by the Company, it proposes to undertake Hedging Exercise to mitigate the risk.

- Scheduled Commissioning Date of the project has been extended till 22nd August'2026 from earlier envisaged date of 30th June'2025.

- As per The Electricity Rules'2005, for a power project to qualify as a 'Captive Generating Plant', following conditions are to be satisfied:

  (i) not less than twenty six percent of the ownership is held by the captive user (s), and
  (ii) not less than fifty one percent of the aggregate electricity generated in such plant, determined on an annual basis, is consumed for the captive use:

  Further, 'Ownership' has been defined to mean as "in relation to a generating station or power plant set up by a company or any other body corporate **shall mean the equity share capital with voting rights**. In other cases ownership shall mean proprietary interest and control over the generating station or power plant".

  In the present proposal, the Company is setting up a 600 MWac Solar Power Plant and have for offtake of the same entered into a Power Delivery Agreement with Vedanta Limited for the entire capacity. Thus, fulfilling condition no. (ii) as mentioned above.

  At present, Vedanta Limited, i.e., the offtaker has subscribed to Optionally Convertible Redeemable Preference Shares (OCRPS) having an aggregate value of Rs.125.00 crore, which is not Equity Share Capital and also does not qualify for voting rights. **Thus, condition no. (i) as mentioned is yet to be satisfied.**

  "The Company in relation to satisfaction of the conditions mentioned in The Electricity Rules'2005 have replied as under:

  The project financing involves an equity contribution from the offtaker (VL), in the form of Optionally Convertible Redeemable Preference Shares (OCRPS) at the initial stage of the project. This approach is being utilized specifically to manage the shareholder structure and ensure the Serentica group maintains its strategic 51% ownership stake in the project company, as the guidelines, offtaker need to be infuse 26% equity into the

project and same will be checked at the time of COD and basis that approach the conversion of OCRPS into Pure Equity will be done near to commissioning of the project.

(a) Conversion near to COD: *The OCRPS will be converted into common equity upon the Commercial Operation Date (COD). This timing will finalize the required shareholding percentages.*

(b) Addressing Project Cost Volatility: *Waiting until COD for the final conversion provides a crucial advantage in handling capital variations. Given the potential for both cost savings and cost overruns during the construction phase, fixing the equity structure prematurely would make it difficult for the project company to manage the resulting need to refund or reallocate equity capital.*

Basis above, at the time of Commissioning of the project, 26% infusion from offtaker will get complied along with the majority shareholding will be with the Serentica only."

Thue, in relation to the above, the Company proposes to comply with The Electricity Rules'2005 prior to Commissioning of the Project. Lender(s) to the project to obtain Conversion Certificate from the Company stating that the offtaker has complied with holding minimum 26% Equity Shareholding along with Voting Rights in the Company before Commissioning of the Project.

- Balance terms and conditions of the Power Delivery Agreement are in line with Industry Standards.

5.12.1 Vedanta Power Demand Analysis

A summary of Vedanta Power Demand Analysis basis the Market Intelligence & Analytics Report as prepared by CRISIL in July'2023 for Off-taker Evaluation of VAL for a Renewable Energy project is provided below:

Table 33: Vedanta Power Demand Analysis

Particulars	Details
Existing Power Sources and Additional Power Requirements	Vedanta Aluminium & Power Business is India's largest primary aluminium producer with an installed smelting capacity of ~2.2 MTPA. Its Jharsuguda complex in Odisha comprises a 1.8 MTPA smelter supported by a captive and independent thermal power portfolio totalling 3,615 MW (9×135 MW = 1,215 MW and 4×600 MW = 2,400 MW, of which 3×600 MW is CPP and 1×600 MW is IPP). These units supply power to the smelter as well as participate in commercial power sales.

Particulars	Details
	From FY 2019-20 to FY 2021-22, Vedanta Aluminium Limited's (VAL) average power purchase cost remained within Rs.2.56–Rs.3.82/kWh, but escalated sharply to around Rs.5.49/kWh in FY 2022-23 due to coal price inflation. In 2022, India experienced severe heatwaves, driving a 14% year-on-year rise in electricity demand (April–July) and pushing peak demand to 211 GW on 10 June 2022. This surge, met largely through coal-based generation, resulted in coal shortages. The Ministry of Power directed GENCOs and IPPs to import at least 10% of their coal requirements, increasing generation costs further and leading to heightened dependence on power exchanges. To protect end consumers from extreme price volatility, CERC imposed caps on exchange prices—initially Rs.12/kWh, later extended, and eventually replaced by revised ceilings under the newly introduced High Price Day Ahead Market (HP-DAM). As of 31 March 2023, the market clearing price ceiling stands at Rs.10/kWh (DAM) and Rs.20/kWh (HP-DAM). The overall power market scenario indicates that coal-based generation costs are likely to remain high, compounded by risks of coal diversion by the Government during shortages. In contrast, renewable energy procurement has become increasingly attractive due to its falling tariffs and stable long-term price outlook. Consequently, VAL is evaluating procurement of ~200 MW of additional capacity, preferably from renewable sources, to meet growing energy demand and to comply with Renewable Purchase Obligation (RPO) requirements.
RPO Requirements	The Odisha Electricity Regulatory Commission (OERC) has issued the **Renewable Purchase Obligation (RPO) Regulations, 2021**, mandating specified entities ("Obligated Entities") to procure a minimum share of their total electricity consumption from renewable energy (RE) sources.

Particulars	Details
	Under these regulations, the following are classified as Obligated Entities: 1. **Distribution Licensees** (including entities procuring power on their behalf). 2. **Captive Generating Plant (CGP) owners** with fossil fuel–based plants of **1 MW and above**, to the extent of their fossil fuel–based self-consumption. 3. **Open Access consumers** procuring electricity from conventional fossil fuel–based sources, to the extent of such consumption. The Commission may revise the minimum eligible capacity requirement through future orders. OERC has further defined category-wise obligations including **Solar RPO**, **Non-Solar RPO**, and **Hydro Purchase Obligation (HPO)**. All Obligated Entities must meet the prescribed percentage of RE purchase based on **their total electricity consumption**, excluding consumption met from State and Central hydro sources. RPO targets set by OERC is given below:

Year	Solar RPO	HPO	Other Non-Solar RPO	Total Non-Solar RPO	Total RPO
21–22	7.25%	0.18%	5.82%	6.00%	13.25%
22–23	8.00%	0.35%	6.15%	6.50%	14.50%
23–24	8.75%	0.66%	6.59%	7.25%	16.00%
24–25	9.75%	1.08%	7.17%	8.25%	18.00%

Source: CRISIL Report, July'2023

Our Comments:

- *As construed from the above table, VAL as on July'2023 was evaluating procurement of additional ~200 MW of capacity, preferably from renewable sources, to meet growing energy demand and to comply with Renewable Purchase Obligation (RPO) requirements.*
- *Further, the RPO obligation is also to increase from being at 13.25% in 21-22 to 18.00% in 24-25.*

Table 34: Landed Cost of Power for VAL

VAL Landed Cost	UOM	Phase II
Tariff (USD Cents/KWh) at Gen. substation meter	USD Cents/kWh	4.40
Tariff (INR/KWh) at Gen. substation meter at USD 1=INR 88	Rs. per kWh	3.87
Long Term ISTS Charge	Rs. per kWh	0.00
Long Term ISTS Loss (@3.5%)	Rs. per kWh	0.14
STU charge	Rs. per kWh	0.38
STU Loss (@3%)	Rs. per kWh	0.13
Electricity Duty	Rs. per kWh	0.00
Delivered Cost of Electricity	**Rs. per kWh**	**4.52**
Grid tariff	Rs. per kWh	5.80
Saving	**Rs. per kWh**	**1.28**

Source: Company Information

5.13 Investment Agreement

Details regarding Investment Agreement (IA) executed for the project is given below:

Table 35: Brief Term of IA

Particulars	Details
Nature of Agreement	***Investment agreement***
Date	24th March, 2023
Parties	Serentica Renewables India Private Limited ('SRIPL'), Vedanta Limited ('Captive user') and Serentica Renewables India 9 Private Limited ('Developer')
Purpose	SRIPL is engaged in the business of development and operations of power plants. Developer is a wholly owned subsidiary of SRIPL. Captive User is in the business of production of zinc, lead, and silver. Developer and Captive User have executed the Power Delivery Agreement dated 24th March 2023 ("PDA") for the Renewable Energy project, pursuant to which Developer has agreed to supply power to Captive User and Captive User has agreed to consume the same. For the above purposes, funding the Project and complying with the requirements, SRIPL and Captive User shall make the required investments in Developer in accordance with this Agreement.

Particulars	Details
Captive User Securities	it means the CU OCRPS, CU Alternate Securities, and any other Securities held by Captive User
CU OCRPS (Optionally convertible redeemable preference shares)	It means the aggregate of CU OCRPS 1, CU OCRPS 1A and CU OCRPS 2: CU OCRPS 1 - means 4,68,00,000 (Four Crore Sixty-Eight Lakh) OCRPS that are to be subscribed by Captive User for the CU OCRPS 1 Subscription Amount of Rs. 46,80,00,000/- CU OCRPS 1A - means 4,68,00,000 (Four Crore Sixty-Eight Lakh) OCRPS that are to be subscribed by Captive User for the CU OCRPS IA Subscription Amount of Rs. 46,80,00,000/- CU OCRPS 2 - means 21,84,00,000 (Twenty-One crore Eighty-Four Lakh) OCRPS that are to be subscribed by Captive User for the CU OCRPS 2 Subscription Amount of Rs. 2,18,40,00,000/-
Subscription to CU OCRPS 1	Developer hereby agrees to issue and allot to Captive User and Captive User agrees to subscribe to CU OCRPS 1 for the CU OCRPS 1 Subscription Amount on the Closing 1 Date, free and clear of all Encumbrances.
Subscription to CU OCRPS 1A	Developer hereby agrees to issue and allot to Captive User and Captive User agrees to subscribe to CU OCRPS 1A for the CU OCRPS 1A Subscription Amount on the Closing 1A Date, free and clear of all Encumbrances.
Subscription to further securities (CU OCRPS 2)	On the terms and subject to the conditions set out in this Agreement and subject to achievement of Closing 1 and Closing 1A, Developer hereby agrees to issue and allot to Captive User and Captive User agrees to subscribe to CU OCRPS 2 for the CU OCRPS 2 Subscription Amount on the Closing 2 Date, free and clear of all Encumbrances. The issuance of the CU OCRPS 2 to Captive User may be on private placement basis or rights issue basis (as the case may be), and as may be decided by Developer.
Funding by SRIPL	The Board shall from time to time procure funding from SRIPL through issue of Equity Shares, CCPS, CCDs, OCDs, NCDs or any other Securities or a combination thereof by Developer
Additional terms/ covenants	• The issuance of any CU OCRPS shall be at FMV (fair market value) • Developer shall be allowed to create different classes of shares and issue shares with differential rights (including differential voting rights) • the Captive User shall waive or forego all Economic Rights on the Captive User Securities in accordance with the written instructions of the Developer. Captive User shall execute all necessary documents/ agreements/ undertakings from time to

Particulars	Details
	time as may be required by the Developer for the same without any demur or protest.
Conversion event	Conversion of Captive User Securities and/or SRIPL Securities into Equity Shares at any time after Closing 2, as may be decided by the Board.
Inter se Holding Ratio	The shareholding ratio in which Captive User and SRIPL hold Equity Shares of Developer, as the Board may decide from time to time, such that Captive User holds no less than 26% but no more than 49% of the Equity Shares and SRIPL (either itself and/ or through SRIPL Nominees) holds no more than 74% but no less than 51% of the Equity Shares at any given point in time.
Threshold maintenance	The Captive User shall, at all times, be obligated to hold the Captive User Securities in such manner as to ensure compliance with the Captive Rules ("Threshold")
Captive user event of default	Event of default – • Event of default as per PDA and failure to rectify such default • Failure by Captive User to meet the funding requirements as contemplated • Failure by Captive User to meet its obligations under this Agreement • Transfer by Captive User of Captive User Securities, in breach of the terms and conditions of this Agreement • Transfer by Captive User of this Agreement and/or its rights and obligations therein in breach of the terms and conditions of this Agreement • Any other material breach of the terms of this Agreement • Failure to comply with any voting requirement • Voiding, termination, frustration, invalidation or cancellation of the PDA
Consequences of captive user EOD	1. SRIPL shall have the right, but not the obligation to sell all of the SRIPL Securities (by issuing a Put Option Exercise Notice to Captive User to that effect) to the Captive User and the Captive User shall be obligated to purchase such SRIPL Securities at a consideration equivalent to 110% of FMV of such SRIPL Securities at the time of the issue such Notice. 2. If in terms of the PDA, Developer decides to terminate the PDA by giving a written notice to Captive User on that behalf • Captive User shall be liable to pay Developer an amount equivalent to the ACCSP for the amount of electricity equal to monthly bill for last 12 months from the date of termination of the PDA.

Particulars	Details
	• Additionally, captive user shall identify another captive user acceptable to SRIPL to replace Captive User within 12 months of such termination of the PDA. • The Captive User shall sell all Captive User Securities free from all Encumbrances to such Alternate Captive User 3. In case the Captive User Securities are not transferred to an Alternate Captive User within 12 months of termination of PDA, then – • In the event Captive User has contributed/ infused any funds in Developer for subscription of any Captive User Securities but against which no Captive User Securities have been issued to Captive User, then SRIPL shall be entitled to receive amounts equivalent to such contributions as liquidated damages from the Captive User. • In the event all Captive User Securities stand issued, then – - Captive User shall pay to SRIPL liquidated damages for amounts equivalent to the FMV of Captive User Securities as calculated on the date of the Captive User EOD notified by SRIPL to the Captive User in writing. - SRIPL shall have the right, but not the obligation to purchase all or part of Captive User Securities free from all Encumbrances (by issuing a Call Option Exercise Notice to the Captive User to that effect), Captive User shall be under an obligation to sell the Captive User Securities to such persons for the FMV permissible under Applicable Law at relevant point in time.
Developer Event of default under the PDA	In case of developer event of default as per PDA, captive user can seek transfer of the project in favour of captive user or its nominee Captive User shall be entitled to such transfer of the Project through purchase of entire SRIPL Securities by Captive User for consideration equivalent to 50% FMV of SRIPL Securities existing at the time of exercise of its rights to seek transfer of the Project by Captive User. The costs and stamp duty for such transfer of SRIPL Securities shall be borne by SRIPL.
Put Option process	In case of transfer of any SRIPL Securities as per agreement is envisaged, SRIPL shall have the right but not an obligation to sell to Captive User and Captive User shall be obligated to purchase the SRIPL Securities ("Put Option Securities") in accordance with the agreement by issuing a written notice (the "Put Option Exercise Notice") to Captive User to that effect.

<table>
<tr><th>Particulars</th><th>Details</th></tr>
<tr><td>Call option process</td><td>In case of transfer of any Captive User Securities is envisaged, SRIPL shall have the right but not an obligation, by issuing the " Option Exercise Notice" to Captive User requiring it to, and Captive User shall be obligated to, sell the Captive User Securities ("Call Option Securities") as per agreement.</td></tr>
<tr><td>Termination</td><td>The agreement can be terminated if any of the following event –
• In the event Closing 1, Closing 1A or Closing 2 is not achieved as per agreement
• In case of termination of PDA
• On expiry of the term of the PDA</td></tr>
<tr><td>Schedule 1</td><td>Shareholding of developer as on the effective date of the agreement:
<table>
<tr><th>SN</th><th>Name of shareholding</th><th>No. of equity shares</th><th>%age of holding</th></tr>
<tr><td>1</td><td>Serentica Renewables India Pvt. Ltd.</td><td>9,999</td><td>99.99%</td></tr>
<tr><td>2</td><td>Nikita Gupta (nominee of SRIPL)</td><td>1</td><td>0.01%</td></tr>
<tr><td colspan="2">Total</td><td>10,000</td><td>100.00%</td></tr>
</table></td></tr>
<tr><td>Schedule 2,3 & 4</td><td>
<table>
<tr><th>Particulars</th><th>Terms for CU OCRPS 1, CU OCRPS 1A, CU OCRPS 2</th></tr>
<tr><td>Face value (FV)</td><td>Rs.10 each</td></tr>
<tr><td>Issue price</td><td>To be issued at FMV</td></tr>
<tr><td>Term</td><td>Unless redeemed, it shall be 30 years from allotment</td></tr>
<tr><td>Dividend</td><td>0.0001% of FV of each per annum</td></tr>
<tr><td>Voting rights</td><td>No voting rights</td></tr>
<tr><td>Conversion</td><td>Optionally Convertible (by board) to equity share after closing 2</td></tr>
<tr><td>Conversion ratio</td><td>1:1</td></tr>
<tr><td>Redemption</td><td>Redeemable in case of:
- upon expiry unless converted earlier
- any time at the option by board</td></tr>
</table></td></tr>
</table>

6 PROJECT IMPLEMENTATION AND OPERATIONS STRATEGY

6.1 Project Implementation Strategy

The company for smooth implementation of the project has engaged the following entities:

Table 36: Project Implementation Entities

Nature of Contract/ Agreement	Name of Agency	Remarks
Engineering, Procurement and Construction (EPC) Contract	Serentica Renewables India Private Limited	Executed on 27th June'2024 and as amended on 03rd January'2025 & 03rd November'2025
Shared Infra and Evacuation Sharing Agreement	Serentica Renewables India Private Limited	Executed on 16th August'2024 and as amended on 03rd January'2025
Module Supply Agreement	Waaree Energies Limited	A Module Supply Agreement (MSA) was executed on 10th May'2024 between Serentica Renewables India Private Limited (SRIPL) and Waaree Energies Limited (WAL)

Snapshots of the Contract are as under:

6.1.1 Engineering Procurement Construction (EPC) Contract

The Company for implementation of the project have executed an Engineering, Procurement and Construction (EPC) Contract with ***M/s. Serentica Renewables India Private Limited (SRIPL)*** on 27th June'2024 as amended on 03rd June'2025 for setting up a 900 MWdc/ 600 MWac Solar Power Project at an amended cost of ***Rs.2733.78 crore*** (including GST). The said EPC was further amended on 03rd November'2025, incorporating project capacity as ***840 MWdc/ 600 MWac*** at an amended cost of ***Rs.2989.08 crore***.

A brief snapshot of the Key Terms of the EPC Contract is given below:

Table 37: Key Terms of EPC Contract for the Project

Particulars	Details
Nature of Contract	*Engineering, Procurement and Construction (EPC) Contract*

Parties to the Contract	Serentica Renewables India 9 Private Limited ('SRI9PL' or 'Owner') Serentica Renewables India Private Limited ('SRIPL' or 'Contractor')
Date of Agreement	27th June'2024 as amended on 03rd June'2025 and 03rd November'2025
Scope of Work	Scope of Work as per the Contract is given below: Scope of Supply and Services: • Supply of Solar Power System: Includes design, engineering, manufacturing, inspection, testing, packing, shipment of major equipment, spare parts, and materials. • Works/Services: Covers complete project execution—design, engineering, studies, transportation, site handling, civil and electrical works, installation, commissioning, project management, and supply/construction of all related packages for the complete project. Exclusions from the Scope of Work are as under: (a) **Evacuation Infrastructure:** Means the 400/33 KV Pooling Substation ("PSS") including the two transformer bays, two-line bays and two tie-bays including 33KV feeders and power transformers. in accordance with the Technical Specifications and Applicable Law (b) **Electrical Works:** Means the design, supply, engineering, fabrication, construction, reception, installation, commissioning, start-up, testing and related services in respect of the Solar Power Generating System (c) **Erection:** Means Erection excluding Evacuation Infrastructure (d) **Transmission Line and Bay Extension Work:** Means the procurement all of the equipment, components, supplies and other goods for the construction of the Transmission Line (including infrastructure for connection to the Transmission Point) for the safe and proper operation of the Project, in compliance with Applicable Laws and Permits, and applicable Utility/CEA requirements (e) **Transmission Line:** Means the 400 KV transmission line erected and installed for inter connection of Project to the Transmission Point (f) Exclude design, engineering, supply and installation of Evacuation Infrastructure; Transmission Line and Bay Extension Works (g) Undertake the load flow study for the Evacuation Infrastructure and submit the report of such study to the Owner for review